

NATIONAL INCOME: GDP, GVA, GNP, NDP AND MEASUREMENT

TERRITORY BEFORE ARITHMETIC → GROSS-TO-NET LADDER → THREE-METHOD CONVERGENCE → GDP-GVA TAX BRIDGE → NOMINAL-REAL DECODER → PRODUCTION-BOUNDARY GATE

Read the thick cyan rail from Stage 00 to the final core synthesis. Each card uses a concept-appropriate structure; the grey E card is optional enrichment only and never repairs missing core content.

PRIMARY CORE FLOW SUBORDINATE EXTRA APPROVAL / REVIEW

Approval: FALSE • Pending user review • source generation g5 and all prior artifacts unchanged

CORE BEFORE EXTRA • prior artefacts unchanged • exact same master drives poster and tiles

00

STAGE 00 TERRITORY BEFORE ARITHMETIC

TERRITORY BEFORE ARITHMETIC DOMESTIC TERRITORY NORMAL RESIDENCE NFIA BRIDGE GDP + NFIA LOCATION AND OWNERSHIP ARE NOT THE SAME BOUNDARY MUST REMEMBER NATIONAL ACCOUNTS MEASURE PRODUCTION, INCOME AND EXPENDITURE CONSISTENTLY

DOMESTIC TERRITORY → GDP

NORMAL RESIDENCE → GNP

NFIA BRIDGE → GDP + NFIA

TRAP → location and ownership are not the same boundary

CORE CLAIM

- DOMESTIC TERRITORY → GDP
- NORMAL RESIDENCE → GNP

MECHANISM

- NFIA BRIDGE → GDP + NFIA
- TRAP → location and ownership are not the same boundary

CONSEQUENCE / LIMIT

- MUST REMEMBER: National accounts measure production, income and expenditure consistently...
- DOMESTIC TERRITORY → GDP

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: TRAP → location and ownership are not the same boundary.

01

STAGE 01 GROSS-TO-NET LADDER

GROSS-TO-NET LADDER MINUS DEPRECIATION CAPITAL CONSUMPTION RETAINED CAPITAL CONSUMPTION DEDUCTED

GDP → minus depreciation → NDP

GNP → minus depreciation → NNP

GROSS → capital consumption retained

NET → capital consumption deducted

CORE CLAIM

- GDP → minus depreciation → NDP
- GNP → minus depreciation → NNP

MECHANISM

- GROSS → capital consumption retained
- NET → capital consumption deducted

CONSEQUENCE / LIMIT

- GDP → minus depreciation → NDP
- GNP → minus depreciation → NNP

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: GROSS → capital consumption retained; NET → capital consumption deducted.

02

STAGE 02 THREE-METHOD CONVERGENCE

THREE-METHOD CONVERGENCE VALUE ADDED WAGES + PROFITS + RENT + MIXED INCOME C + I + G + (X - M) ONE OUTPUT, THREE MEASUREMENT ROUTES

PRODUCTION → value added

INCOME → wages + profits + rent + mixed income

EXPENDITURE → C + I + G + (X - M)

IDENTITY → one output, three measurement routes

CORE CLAIM

- PRODUCTION → value added
- INCOME → wages + profits + rent + mixed income

MECHANISM

- EXPENDITURE → C + I + G + (X - M)
- IDENTITY → one output, three measurement routes

CONSEQUENCE / LIMIT

- PRODUCTION → value added
- INCOME → wages + profits + rent + mixed income

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EXPENDITURE → C + I + G + (X - M).

03

STAGE 03 GDP-GVA TAX BRIDGE

GDP-GVA TAX BRIDGE GVA AT BASIC PRICES PRODUCT TAXES PRODUCT SUBSIDIES = GDP AT MARKET PRICES

CORE CLAIM

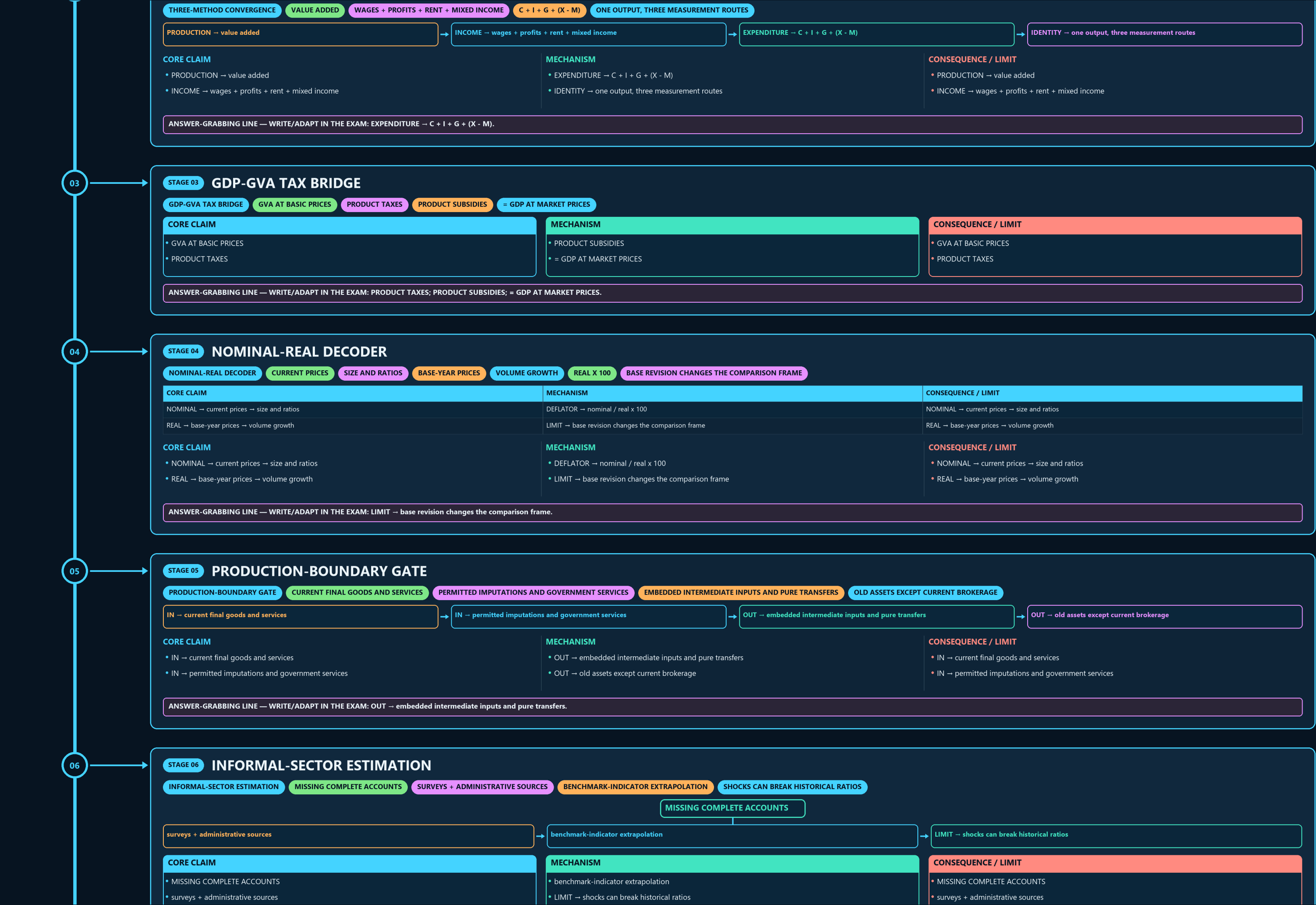
- GVA AT BASIC PRICES
- PRODUCT TAXES

MECHANISM

- PRODUCT SUBSIDIES
- = GDP AT MARKET PRICES

CONSEQUENCE / LIMIT

- GVA AT BASIC PRICES
- PRODUCT TAXES



09

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: ACTUAL NEAR CAPACITY → demand stimulus meets supply limits.

STAGE 09

SAVING-TO-GROWTH CONVERSION

SAVING-TO-GROWTH CONVERSIONCAPITAL FORMATIONCAPITAL NEEDED PER EXTRA OUTPUTHIGH ICORWEAK CONVERSION EFFICIENCYCLOSE DISTINCTIONNOMINAL IS CURRENT-PRICE VALUE, REAL IS CONSTANT-PRICE VOLUME, A

SAVING → INVESTMENT

INVESTMENT → capital formation

ICOR → capital needed per extra output

HIGH ICOR → weak conversion efficiency

CLOSE DISTINCTION: Nominal is current-price value, real is constant-price volume, a level

CORE CLAIM

• SAVING → INVESTMENT

• INVESTMENT → capital formation

MECHANISM

• ICOR → capital needed per extra output

• HIGH ICOR → weak conversion efficiency

CONSEQUENCE / LIMIT

• CLOSE DISTINCTION: Nominal is current-price value, real is constant-price volume, a level...

• SAVING → INVESTMENT

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: CLOSE DISTINCTION: Nominal is current-price value, real is constant-price volume, a level.

10

STAGE 10

CROSS-COUNTRY COMPARISON FORK

CROSS-COUNTRY COMPARISON FORKCOMMON BASKETPURCHASING POWERMARKET RATEEXTERNAL VALUETRADE AND DEBTSAME OUTPUT, DIFFERENT PRICE BASISQUOTE SOURCE AND REFERENCE YEAR

CORE CLAIM	MECHANISM	CONSEQUENCE / LIMIT
PPP → common basket → purchasing power	SAME OUTPUT, DIFFERENT PRICE BASIS	EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: State factor cost/basic/market-price...
MARKET RATE → external value → trade and debt	RULE → quote source and reference year	PPP → common basket → purchasing power

CORE CLAIM

• PPP → common basket → purchasing power

• MARKET RATE → external value → trade and debt

MECHANISM

• SAME OUTPUT, DIFFERENT PRICE BASIS

• RULE → quote source and reference year

CONSEQUENCE / LIMIT

• EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: State factor cost/basic/market-price...

• PPP → common basket → purchasing power

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: EVIDENCE LIMIT: FORMULA / STATUS / CAUSATION: State factor cost/basic/market-price.

11

STAGE 11

EXAMINER CLOSING SPINE

EXAMINER CLOSING SPINEBOUNDARY + FORMULABASE YEAR + PERIOD + VINTAGECOVERAGE + METHOD + EFFICIENCYDISTRIBUTION + UNPAID WORK + ECOLOGY

DEFINE → boundary + formula

VERIFY → base year + period + vintage

ANALYSE → coverage + method + efficiency

QUALIFY → distribution + unpaid work + ecology

CORE CLAIM

• DEFINE → boundary + formula

• VERIFY → base year + period + vintage

MECHANISM

• ANALYSE → coverage + method + efficiency

• QUALIFY → distribution + unpaid work + ecology

CONSEQUENCE / LIMIT

• DEFINE → boundary + formula

• VERIFY → base year + period + vintage

ANSWER-GRABBING LINE — WRITE/ADAPT IN THE EXAM: QUALIFY → distribution + unpaid work + ecology.

E

EXTRA

SUBORDINATE ENRICHMENT — ONLY AFTER THE COMPLETE CORE

OPTIONAL ADVANCED ENRICHMENTINTERMEDIATE INPUTS + OPERATING SURPLUS + GFCEPRODUCTION TAXES/SUBSIDIES RELATE TO PRODUCTION ACTIVITY.PRODUCT TAXES/SUBSIDIES RELATE TO UNITS OF GOODS/SERVICES AND BRIDGEA TAX CUT CAN NARROW GDP GROWTH RELATIVE TOCONSTANT-PRICE ESTIMATES SEPARATE OUTPUT-VOLUME CHANGE FROM PRICE CHANGE.DIFFERENT SECTORS REQUIRE SUITABLE DEFLATORS; ONE ECONOMY-WIDE PRICE INDEXBASE-YEAR REVISION UPDATES PRICES, WEIGHTS, DATABASES, CLASSIFICATIONS AND

OPTIONAL SOURCE DEPTH

• intermediate inputs + operating surplus + GFCE

• Production taxes/subsidies relate to production activity.

• Product taxes/subsidies relate to units of goods/services and bridge GVA

• CAUTION: A tax cut can narrow GDP growth relative to GVA growth even when underlying

ADVANCED DEBATE

• Constant-price estimates separate output-volume change from price change.

• Different sectors require suitable deflators; one economy-wide price index

• Base-year revision updates prices, weights, databases, classifications and

• CAUTION: A new series can alter levels and growth rates because both the base and

LEGACY / NUANCE

• CAUTION: Informal-sector estimation, rapidly changing digital services and quality

• CAUTION: Per-capita GDP corrects for population size but not inequality.

• CAUTION: Disaster reconstruction can add to GDP although the original welfare loss

• CAUTION: Resource depletion may raise current output while reducing future wealth.

OPTIONAL STATUS — This optional depth is unnecessary for a competent core answer; use it only for added nuance after the complete core has been written.

END OF MASTER CANVAS • poster embeds this exact master • tiled pages are overlapping crops of the same pixels

NATIONAL INCOME: GDP, GVA, GNP, NDP AND MEASUREMENT • TILE 4/4 • same master rows 6836-10070 of 10070 • end